

COMPANY A	
STATUS QUO	BUSINESS IMPROVES
\$100 in sales	\$110.00 in sales (prices up 10%)
<u>\$88 in costs</u>	<u>\$92.40 in costs (up 5%)</u>
\$12 pretax profit	\$17.60 pretax profit
COMPANY B	
STATUS QUO	BUSINESS IMPROVES
\$100 in sales	\$110.00 in sales (up 10%)
<u>\$98 in costs</u>	<u>\$102.90 in costs (up 5%)</u>
\$2 pretax profit	\$7.10 pretax profit

In the recovery, Company A's profits have increased almost 50 percent, while Company B's profits have more than tripled. This explains why depressed enterprises on the edge of disaster can become very big winners on the rebound. It happens again and again in the auto, chemical, paper, airline, steel, electronics, and nonferrous metals industries. The same potential exists in such currently depressed industries as nursing homes, natural gas producers, and many retailers.

What you want, then, is a relatively high profit-margin in a long-term stock that you plan to hold through good times and bad, and a relatively low profit-margin in a successful turnaround.